



Source Rating

FACTORY RISK CHECKS

BUYER-SIDE ENGINEERING SUPPLIER VERIFICATION

Supplier Verification Playbook

A practical pre-deposit, production, and pre-shipment checklist for overseas buyers sourcing engineering and construction materials from China.

12

decision areas

3

buyer gates

0-3

evidence scoring

HOW TO USE THIS DOCUMENT

Use it to decide what must be proven before money or goods move.

This playbook converts supplier claims into evidence requests. It is written for engineering buyers who need to judge whether a Chinese supplier is real, capable, quality-controlled, and shipment-ready.

Before deposit

Confirm legal identity, factory ownership of the process, technical fit, and red flags before payment pressure begins.

During production

Track QA/QC evidence, drawing changes, material traceability, schedule risk, and nonconformities before they become shipment issues.

Before shipment

Check quantity, dimensions, finish, packing, markings, documents, and release evidence before goods leave the factory.

Buyer principle: a supplier is not low risk because it answers quickly or quotes well. It is lower risk when claims match documents, factory evidence, production controls, and project-specific acceptance criteria.

Inputs to collect first

- ☐ Supplier legal name, website, sales contact, and factory address.
- ☐ Product category, drawings/specifications, target country, and project standard.
- ☐ Order stage: early search, before deposit, production started, or shipment pending.
- ☐ Main concern: capacity, certificates, welding, dimensions, delivery, documents, or communication.

Outputs you should expect

- ☐ Evidence-backed risk notes, not a simple yes/no opinion.
- ☐ A list of missing documents and supplier questions.
- ☐ Recommended next step: desk check, factory visit, inspection, hold, or proceed with controls.
- ☐ A decision record your procurement, engineering, or project team can review.

RISK SCORING MODEL

Score evidence quality before scoring the supplier.

Every area should be scored from 0 to 3. Low scores do not always mean the supplier is bad; they mean your buyer risk is still not controlled.

Score	Evidence level	Buyer meaning	Typical action
0	Unknown / not checked	No reliable basis for decision	Pause, request documents, or verify
1	Weak / sales claim only	High uncertainty	Ask targeted questions; do not rely on quote alone
2	Acceptable with gaps	Can proceed with controls	List corrections and follow up
3	Clear, linked evidence	Lower decision risk	Proceed under agreed inspection plan

Decision gates

- G1 Supplier approval:** legal identity, process ownership, engineering fit, and obvious risk signals checked before deposit.
- G2 Production control:** drawings, materials, QA/QC records, schedule evidence, and change control checked during production.
- G3 Shipment release:** dimensions, quantity, finish, packing, documents, and release recommendation checked before shipping.

Proceed guide: 30-36 = proceed with normal controls. 22-29 = proceed only with corrective actions. 14-21 = verify before deposit or shipment. Below 14 = hold and investigate.

PART 1

Supplier identity, legal entity, and business legitimacy

Core checks

- ☐ Legal company name matches quotation, contract, proforma invoice, bank account, export documents, and public-facing materials.
 - ☐ Business registration status, address, operating scope, and responsible legal entity are reviewed.
 - ☐ Factory address is confirmed and separated from any sales office, trading office, or virtual address.
 - ☐ Export entity is identified: manufacturer, trading company, affiliated export company, or third-party export agent.
 - ☐ Website, catalog, certificates, claimed projects, and sales statements are consistent with the supplier's real capability.
 - ☐ Obvious litigation, blacklist, abnormal registration, or severe reputation signals are noted where public information is available.
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Evidence to request

- ☐ Business license or registration extract.
- ☐ Factory name/address in Chinese and English.
- ☐ Bank account beneficiary and invoice entity.
- ☐ Recent export documents or anonymized project references where appropriate.
- ☐ Photos or videos that prove the factory location and actual production process.

Red flag: the supplier cannot explain which legal entity will sign, invoice, receive payment, manufacture, and export the goods.

Quality management, document control, and engineering fit

Quality system checks

- ☐ Supplier has a defined quality responsibility structure, not only sales-led communication.
- ☐ Incoming material inspection, in-process checks, final inspection, and nonconformity handling are documented.
- ☐ Inspection records are recent, product-relevant, and tied to batches, heat numbers, lots, serials, or project references.
- ☐ Corrective actions are tracked with owner, due date, evidence, and closure.
- ☐ Calibration status is visible for measurement tools used on critical dimensions.

Engineering fit checks

- ☐ Supplier acknowledges drawings, revision numbers, standards, tolerances, materials, finishes, and special requirements.
- ☐ Open technical questions are listed before production starts.
- ☐ The supplier can explain critical-to-quality features in plain language.
- ☐ First article, mockup, sample, or hold point is defined where needed.
- ☐ Drawing revisions and change requests have an agreed approval path.

Practical test: ask the supplier to walk through one critical drawing detail and show how it will be checked during production. Weak suppliers often fail here before any factory visit is needed.

PART 3

Factory capability, capacity, and subcontracting risk

Capability checks

- ☐ Workshop, equipment, tooling, molds, lines, cranes, testing equipment, and workforce match the quoted product.
 - ☐ Production flow is visible from incoming material to packing or loading.
 - ☐ Current workload is checked against the promised delivery schedule.
 - ☐ Similar past products or projects are reviewed with evidence, not only sales references.
 - ☐ Key bottlenecks are identified: materials, tooling, molds, coating, galvanizing, machining, testing, or packing.
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Subcontracting checks

- ☐ Subcontracted processes are identified before order confirmation.
- ☐ Supplier explains how subcontractor quality is controlled.
- ☐ Critical outsourced processes have acceptance criteria and records.
- ☐ Buyer knows which factory will perform which operation.

Equipment mismatch	Factory lacks machinery for quoted process	High	Hold until process owner is verified
Overloaded workshop	Delivery date relies on unrealistic capacity	Moderate	Request schedule evidence and milestones
Hidden subcontracting	Critical process outsourced without control	High	Identify subcontractor and inspect controls
No similar work	Supplier has no comparable project evidence	Moderate	Require sample, mockup, or first-article check

Material certificates, traceability, and compliance documents

Document checks

- ☐ Material certificates match the product, grade, batch, heat number, lot, or serial number.
- ☐ Test reports are linked to the supplied goods and not recycled from unrelated orders.
- ☐ Standards, declarations, and compliance documents match the target market or project requirement.
- ☐ Inspection records include date, inspector, method, result, and acceptance criteria.
- ☐ Document language and numbering are consistent with shipment documents.

Traceability checks

- ☐ Incoming materials are marked, segregated, and traceable to production records.
- ☐ Batch changes are recorded and communicated when relevant.
- ☐ Nonconforming materials cannot accidentally enter production.
- ☐ Labels, markings, packing list, and certificates can be reconciled before shipment.
- ☐ Photos prove document-to-product linkage where physical marking is visible.

Red flag: certificates are available, but the supplier cannot link them to the goods being produced or shipped.

Precast concrete and construction material suppliers

Precast concrete checks

- ☐ Drawings, molds, embedded plates, lifting anchors, reinforcement details, finishes, tolerances, and curing requirements are reviewed before production.
 - ☐ Concrete mix design, batching controls, curing records, dimensional checks, and repair process are documented.
 - ☐ Rebar, inserts, cast-in items, and connection details are checked before casting when possible.
 - ☐ Handling, stacking, weather protection, packaging, and loading method are suitable for export and site storage.
 - ☐ Factory can show similar product evidence, not just general concrete production capability.
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General construction material checks

- ☐ Product standard, grade, model, color, finish, thickness, tolerance, and testing method are clear.
- ☐ Batch or lot traceability is maintained from incoming material to packing.
- ☐ Packaging protects against moisture, corrosion, breakage, deformation, or label loss during export.
- ☐ Third-party test reports or declarations are current and relevant to the actual product.

Steel structures, fabrication, MEP, and engineering components

Steel structure and fabrication checks

- ☐ Material grade, heat number, thickness, cutting list, and drawing revision are controlled.
 - ☐ Welding process, welder qualification, WPS/PQR availability, fit-up, distortion control, and repair process are checked.
 - ☐ NDT requirements, dimensional control, trial assembly, bolt hole alignment, surface preparation, coating, or galvanizing controls are defined.
 - ☐ Packing protects coated surfaces, edges, bolts, tags, and shipment marks.
 - ☐ Supplier can produce a release package with material certificates, welding/NDT records, coating reports, dimensions, and packing photos.
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MEP and industrial components

- ☐ Model, rating, serial numbers, nameplates, certificates, spare parts, manuals, and warranty terms are reviewed.
- ☐ Factory acceptance test or functional check is defined where relevant.
- ☐ Electrical, pressure, safety, or market compliance documents match the target country.
- ☐ Packaging protects components against moisture, shock, vibration, and missing accessories.

Production monitoring and schedule control

Weekly evidence

- ☐ Production schedule with milestones, not only a final shipment date.
- ☐ Progress photos tied to specific order items or drawings.
- ☐ Material arrival status and bottleneck list.
- ☐ Inspection results, rework, nonconformities, and corrective actions.
- ☐ Open buyer approvals, drawing changes, or document gaps.

Escalation triggers

- ☐ No progress evidence for more than one reporting cycle.
- ☐ Supplier changes process, material, subcontractor, or timeline without approval.
- ☐ Critical defects are found after irreversible production steps.
- ☐ Packaging or document preparation starts before quality issues close.
- ☐ Shipment pressure increases while evidence remains incomplete.

Monitoring rhythm: for project orders, ask for evidence before key irreversible steps such as casting, welding completion, coating, galvanizing, packing, and loading.

Pre-shipment inspection and release decision

Release checks

- ☐ Quantity, models, tags, labels, packing list, and visible condition match the order.
- ☐ Critical dimensions, finish, workmanship, coating, welding, assembly, or performance features are spot-checked against agreed criteria.
- ☐ Packaging is suitable for export handling, weather exposure, stacking, container loading, and project site storage.
- ☐ Photos cover goods, labels, shipment marks, packing method, defects, corrections, and loading readiness.
- ☐ Final documents are consistent: invoice, packing list, material certificates, test reports, release notes, and shipment marks.
- ☐ Release recommendation is explicit: release, release with notes, hold, correct, recheck, or request more evidence.

Missing documents	Goods may be acceptable but paperwork is not ready	Moderate	Hold document release until corrected
Packing weakness	Damage risk during export or site storage	High	Correct packing and re-photo before release
Dimensional issue	Fit-up or installation risk at destination	High	Correct, sort, or obtain buyer concession
Unclear markings	Site receiving and traceability risk	Moderate	Re-mark and update packing list

SUPPLIER QUESTIONS

Email template to send before a paid visit

Subject: Supplier verification information request - [Product / Project]

Dear [Supplier name],

Before we proceed to deposit / production / shipment release, please confirm the following:

1. The exact legal company name, factory address, and export entity for this order.
2. Which processes are completed in-house and which are subcontracted.
3. The current drawing revision, standard, material grade, finish, tolerance, and acceptance criteria you will use.
4. Recent QA/QC records or anonymized project evidence for a similar product.
5. Material certificates and how they will link to batches, heat numbers, lots, serials, or shipment markings.
6. Proposed inspection hold points before irreversible steps and before shipment.
7. Current production schedule and the main risks that could affect delivery.
8. Photos or videos showing the workshop, relevant equipment, and similar production.

Please answer each point and attach supporting evidence where available.

How to read the reply: strong suppliers answer with documents, photos, process details, and named responsibilities. Weak suppliers answer with reassurance, slogans, or pressure to pay quickly.

From free first-pass screen to field verification

Free first-pass screen

Send one supplier link, product category, target country, and main concern. Receive a concise desk-based risk note and suggested next step.

Paid verification scope

Supplier background check, factory visit, production monitoring, or pre-shipment inspection depending on risk, value, and order stage.

Client success follow-up

Clear next actions, document gaps, supplier questions, and a practical follow-up path after the report.

Operating team model

- ☐ Engineering lead: translates drawings, specifications, and project risks into inspection criteria.
- ☐ Field verification coordinator: scopes visits, manages local supplier communication, and controls evidence capture.
- ☐ Quality/research analyst: checks documents, business signals, standards, certificates, and traceability.
- ☐ Client success / operations: keeps response time, handover, quotation, and post-report follow-up consistent.
- ☐ Technology/marketing support: maintains the website, intake form, analytics, SEO assets, and buyer resources.

Scope note: Source Rating provides buyer-side supplier verification and practical procurement risk support. It does not replace legal advice, accredited lab testing, certification bodies, or final engineering approval by the buyer's responsible engineer.

Research basis and professional boundaries

This buyer playbook is built from practical engineering procurement risk control and aligned with widely used quality and audit concepts. It does not reproduce paid standards or replace formal certification.

- **ISO 9001 quality management systems:** used as a high-level reference for process control, documented evidence, corrective action, and customer-focused quality management.
- **ISO 19011 auditing guidelines:** used as a high-level reference for audit planning, evidence-based findings, and audit principles.
- **AISC steel fabricator certification concepts:** used as an industry signal for steel fabrication quality systems and process capability expectations.
- **PCI plant certification concepts:** used as an industry signal for precast concrete production controls and plant quality expectations.

Professional use: adapt this checklist to your contract, product standard, drawing package, inspection level, target country, and project risk. The strongest version of any checklist is project-specific.

What buyers should prepare

- ☐ Supplier link and legal name.
- ☐ Drawings/specifications and order stage.
- ☐ Main risk concern and target country.
- ☐ Budget, timing, and shipment deadline.

Next step

Email contact@sourcerating.com with one supplier link and your main concern. During launch, Source Rating can provide a free first-pass risk screen for suitable engineering material inquiries.